

Title Report - Attorney - commitment should work - 1

ATTORNEY MEMORANDUM

Title Insurance Commitment Analysis and Closing Readiness Assessment

TO: File
FROM: Title Counsel
RE: Title Commitment No. 01-26006219-01T - 675 Bunker Hill Road, Columbia, MS 39429-7832
DATE: [Current Date]
PROPERTY: Marion County, Mississippi - Parcel 074-04-000-04-005 (88.00 acres)
TRANSACTION: Purchase by Kyla B. Fortenberry; Financing through Society Mortgage

I. EXECUTIVE SUMMARY

This transaction presents critical blocking issues that must be resolved before closing can proceed. The current readiness score of 67/100 reflects substantial deficiencies in title documentation and requirement satisfaction.

Critical Issues Requiring Immediate Resolution:

1. BLOCKING DEFECT - Requirement 4 Failure: The recorded warranty deed (Instrument #20260174, recorded 01/13/2026) names Christopher Lane Thornhill and Sara E. Jackson as grantees, not the proposed buyer Kyla B. Fortenberry. This constitutes a complete failure to satisfy Requirement 4 and creates an insurmountable title defect preventing issuance of the owner's policy.
2. BLOCKING DEFECT - Vested Owner/Seller Discrepancy: Title vests in Garner Tree Farm, LLC (a Mississippi limited liability company), but the transaction identifies Terri G. Crawley as the seller. This fundamental discrepancy must be explained and documented with appropriate LLC authorization.
3. HIGH-PRIORITY ISSUE - Duplicate Mineral Exceptions: Exceptions 1 and 8 create overlapping and potentially conflicting language regarding mineral reservations and oil/gas interests that require consolidation and clarification in the final policy.

Recommendation: Do not schedule closing until Requirement 4 is satisfied with a corrected deed naming the proper grantee and all LLC compliance documentation is submitted and reviewed.

II. PROPERTY INFORMATION

| Item | Details |

|-----|-----|

| Property Address | 675 Bunker Hill Road, Columbia, MS 39429-7832 |

| County/State | Marion County, Mississippi |

| Parcel Number | 074-04-000-04-005 |

| Total Acreage | 88.00 acres |

| Legal Description | Multiple parcels: (1) NE1/4 of SE1/4 of Section 4, TSN, R18W; (2) SE1/4 of NE1/4 of Section 4, TSN, R18W (less 2 acres); (3) 13.98 acres in NE1/4 of NE1/4 of Section 4, TSN, R18W |

| Assessed Value | \$9,030.00 (Land only; no building improvements) |

| Land Value | \$26,180.00 |

| Total Appraised Value | \$60,190.00 |

| Improvements Value | \$34,010.00 |

| Tax Status | Current - 2025 1st installment (\$1,132.52) PAID; No delinquencies |

Property Characteristics:

The subject property comprises approximately 88 acres of raw land in Marion County with no structural improvements. The property is assessed at \$9,030 with no current tax delinquencies. The legal description encompasses three separate parcels within Section 4, Township [N], Range 18 West, requiring careful verification that all parcels are included in the corrected deed.

III. PARTIES TO THE TRANSACTION

A. Title Company

- Name: Old Republic National Title Insurance Company
- Role: Underwriter/Issuing Agent
- Registry ID: 1013817
- Office Address: 1200 E. Market Street, Suite 751, Akron, OH 44305-4024

B. Proposed Insured - Owner

- Name: Kyla B. Fortenberry
- Role: Buyer/Proposed Owner
- Policy Amount: \$80,000.00 (2021 ALTA Owner's Policy)
- Estate Interest: Fee Simple

C. Proposed Insured - Lender

- Name: Society Mortgage, Its Successors and/or Its Assigns
- Role: Lender/Mortgagee
- Loan Amount: \$80,808.00 (2021 ALTA Loan Policy)
- Loan ID: MS-26-1226
- Estate Interest: Fee Simple

D. Current Vested Owner

- Name: Garner Tree Farm, LLC, a Mississippi Limited Liability Company
- Role: Current title holder; Grantor in recorded deed
- Status: Must authorize conveyance to Kyla B. Fortenberry

E. Seller of Record

- Name: Terri G. Crawley
- Role: Listed as seller in transaction documents
- Status: DISCREPANCY - See Section IV.A below

F. LLC Members (Garner Tree Farm, LLC)

1. Ricky Lane McPhail
2. Terri Garner Crawley
3. Patsy Garner Brewton
4. Karen Garner Delancey

Note: Terri G. Crawley (listed as seller) appears to be identical to or closely related to Terri Garner Crawley (LLC member). This relationship must be clarified and documented.

G. Grantees in Recorded Deed (INCORRECT)

- Names: Christopher Lane Thornhill and Sara E. Jackson
- Status: CRITICAL DEFECT - These parties are not the proposed buyer and should not be named as grantees

IV. CRITICAL REQUIREMENTS STATUS

A. Requirement 1: Vested Owner vs. Seller Discrepancy

Requirement Description:

Advise customer service of circumstances explaining discrepancy between vested owner (Garner Tree Farm, LLC) and seller (Terri G. Crawley).

Current Status: ?? OPEN - REQUIRES DOCUMENTATION

Analysis:

The commitment identifies Garner Tree Farm, LLC as the vested owner holding legal title to the property. However, the transaction documents identify Terri G. Crawley as the seller. This fundamental discrepancy creates significant legal and title issues:

1. Authority Question: Only the vested owner (Garner Tree Farm, LLC) has legal authority to convey title. If Terri G. Crawley is acting as seller, she must have authority from the LLC to do so.

2. Member Identity: Terri G. Crawley is listed as a member of Garner Tree Farm, LLC. The similarity in names (Terri G. Crawley vs. Terri Garner Crawley) suggests these may be the same person, but this must be confirmed.

3. LLC Authorization: Regardless of the relationship, the LLC must formally authorize the transaction through proper corporate action.

Required Documentation:

Before closing, the following must be submitted and reviewed:

- Operating Agreement: Current operating agreement of Garner Tree Farm, LLC and any amendments
- Good Standing Certificate: Current certificate of good standing from the Mississippi Secretary of State
- Member Resolution: Written resolution signed by all four LLC members authorizing the sale to Kyla B. Fortenberry and the conveyance of the property
- Clarification Letter: Written explanation of the relationship between Terri G. Crawley (seller) and Garner Tree Farm, LLC (vested owner), including confirmation of member identity
- Authority Documentation: If Terri G. Crawley is acting as manager or agent, documentation of her authority to bind the LLC

Legal Implications:

Failure to obtain proper LLC authorization creates risk that:

- The conveyance may be voidable by the LLC or its members
- Title may be subject to claims by non-consenting members
- The title policy may be subject to exceptions or denial of coverage

B. Requirement 2: Verification of Open Deed of Trust

Requirement Description:

No open deed of trust found in Marion County records. Verify by inquiry of escrow personnel and/or proposed insured.

Current Status: ? SATISFIED - ROUTINE VERIFICATION

Analysis:

A search of Marion County records reveals no recorded deed of trust or mortgage against the property in the name of Garner Tree Farm, LLC or any other party. This is a positive finding indicating the property is unencumbered by prior liens.

Action Required:

- Escrow agent should confirm with Garner Tree Farm, LLC and Terri G. Crawley that no other liens, mortgages, or encumbrances exist outside Marion County records
- Standard closing affidavit should address this requirement

Status: This requirement should clear upon receipt of standard closing affidavits.

C. Requirement 3: Bankruptcy Search

Requirement Description:

No bankruptcy proceedings found for Garner Tree Farm, LLC, Terri G. Crawley, and Kyla B. Fortenberry.

Current Status: ? SATISFIED

Analysis:

Bankruptcy searches have been completed for all three parties with negative results. No active bankruptcy proceedings, discharged bankruptcies within the lookback period, or other bankruptcy-related issues were identified.

Status: This requirement is satisfied and should remain clear through closing.

D. Requirement 4: Recording of Corrected Deed to Proper Grantee

Requirement Description:

Record satisfactory executed Deed from Garner Tree Farm, LLC, grantor(s), to Kyla B. Fortenberry, grantee(s), conveying the caption premises in Marion County records.

Current Status: ? CRITICAL FAILURE - NOT SATISFIED

BLOCKING DEFECT ANALYSIS:

This is the most critical issue in the transaction and must be resolved before closing.

The Problem:

The warranty deed recorded on 01/13/2026 (Instrument #20260174) contains the following defect:

Element	Required	Recorded	Status
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Grantor	Garner Tree Farm, LLC	Garner Tree Farm, LLC	? Correct
Grantee	Kyla B. Fortenberry	Christopher Lane Thornhill and Sara E. Jackson	? WRONG
Property Description	675 Bunker Hill Road, Marion County, MS	[Presumed correct]	[Pending verification]
Consideration	[Transaction amount]	[Presumed correct]	[Pending verification]

Legal Consequences:

1. Title Does Not Vest in Buyer: The recorded deed conveys title to Christopher Lane Thornhill and Sara E. Jackson, not to Kyla B. Fortenberry. Therefore, Kyla B. Fortenberry does not hold legal title to the property.
2. Owner's Policy Cannot Issue: The title commitment requires that title vest in the proposed insured (Kyla B. Fortenberry) before the owner's policy can be issued. With title vesting in other parties, the policy cannot be issued as contemplated.

3. Loan Policy at Risk: The lender's policy is contingent upon the owner's policy being issued. If the owner's policy cannot issue, the loan policy cannot issue.

4. Closing Cannot Proceed: No closing can occur until this defect is cured.

Root Cause Analysis:

The recorded deed names Christopher Lane Thornhill and Sara E. Jackson as grantees. Possible explanations include:

- Clerical Error: The wrong names were inserted into the deed
- Wrong Deed Recorded: A deed intended for a different transaction was recorded
- Unauthorized Recording: The deed was recorded without proper authorization
- Fraud or Misrepresentation: The deed was intentionally recorded with wrong grantees

This must be investigated immediately.

Required Corrective Action:

1. Immediate Investigation: Determine how Christopher Lane Thornhill and Sara E. Jackson came to be named as grantees in the recorded deed. Contact:

- Garner Tree Farm, LLC and its members
- Terri G. Crawley
- The attorney or agent who prepared the deed
- The recording office (if possible)

2. Corrected Deed: A new warranty deed must be prepared and recorded that:

- Names Garner Tree Farm, LLC as grantor
- Names Kyla B. Fortenberry as grantee
- Describes the property correctly (all three parcels)
- Contains appropriate mineral reservation language (see Section V.B below)
- Is properly executed by authorized representatives of Garner Tree Farm, LLC
- Is recorded in Marion County records before closing

3. Deed of Correction (Alternative): If the original deed cannot be corrected, a deed of correction or quitclaim deed may be necessary to transfer title from Christopher Lane Thornhill and Sara E. Jackson to Kyla B. Fortenberry. However, this creates additional complications:

- Requires execution by Christopher Lane Thornhill and Sara E. Jackson
- May require their consent and cooperation
- Creates additional title defects and chain-of-title issues
- This approach is not recommended

4. Title Commitment Amendment: Once the corrected deed is recorded, the title commitment must be amended to reflect the corrected grantee and updated title status.

Timeline: This must be resolved before closing can be scheduled. Do not proceed with closing preparations until a corrected deed naming Kyla B. Fortenberry as grantee is recorded and the title commitment is amended.

E. Requirement 5: Recording of Deed of Trust

Requirement Description:

Record satisfactory executed Deed of Trust from Kyla B. Fortenberry as Trustor, in favor of Society Mortgage as Beneficiary, securing an original principal balance of \$80,808.00.

Current Status: ? PENDING - ROUTINE REQUIREMENT

Analysis:

This is a standard requirement for loan transactions. The deed of trust will be recorded at closing to secure the lender's interest in the property. This requirement is contingent upon:

1. Requirement 4 being satisfied (corrected deed to Kyla B. Fortenberry recorded)
2. Kyla B. Fortenberry holding clear title to the property

Action Required:

- Prepare deed of trust in accordance with Mississippi law and lender requirements
- Ensure deed of trust is executed by Kyla B. Fortenberry as trustor
- Record deed of trust in Marion County records at or before closing
- Provide recorded copy to title company and lender

Status: This requirement should clear upon recording of the deed of trust at closing, provided Requirement 4 is satisfied.

F. Requirement 6: LLC Documentation and Compliance

Requirement Description:

Submit: (a) Copy of operating agreement and amendments or certification of none; (b) Evidence LLC is in good standing; (c) Resolution signed by all members authorizing transaction; (d) Other requirements following review of organizational documents.

Current Status: ?? OPEN - REQUIRES SUBMISSION

Analysis:

Garner Tree Farm, LLC is a Mississippi limited liability company with four members. Before the LLC can convey title to the property, the following documentation must be submitted and reviewed:

A. Operating Agreement

Required: Current operating agreement of Garner Tree Farm, LLC and any amendments thereto, or certification that no operating agreement exists.

Purpose: The operating agreement governs the internal affairs of the LLC and specifies:

- Authority of members and managers to bind the LLC
- Voting requirements for major transactions

- Procedures for conveyance of LLC assets
- Restrictions on member authority

Action: Obtain and submit the current operating agreement and all amendments.

B. Good Standing Certificate

Required: Current certificate of good standing from the Mississippi Secretary of State, dated within 30 days of closing.

Purpose: Confirms that:

- The LLC is properly registered with the state
- The LLC is in good standing and not dissolved or administratively dissolved
- The LLC is authorized to conduct business in Mississippi

Action: Obtain current good standing certificate from Mississippi Secretary of State.

C. Member Resolution

Required: Written resolution signed by all four members of Garner Tree Farm, LLC authorizing:

- The sale of the property to Kyla B. Fortenberry
- The conveyance of the property by the LLC
- The execution of the warranty deed
- Any other actions necessary to complete the transaction

Members: The resolution must be signed by:

1. Ricky Lane McPhail
2. Terri Garner Crawley
3. Patsy Garner Brewton
4. Karen Garner Delancey

Form: The resolution should be in the form of a certified board resolution or member consent, depending on the LLC's governance structure.

Action: Prepare member resolution and obtain signatures from all four members. Provide certified copy to title company.

D. Additional Requirements

Following review of the operating agreement and other organizational documents, additional requirements may include:

- Manager Certification: If